

Unit 6**Financial Environment****Structure:**

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6.1 Introduction

For any economic activity, funds are required. Individuals and companies generate surplus funds and these are invested to earn a return on investment. Similarly there are individuals, companies and others engaged in economic activities that require the surplus funds.

The financial system of a nation plays a crucial role in its economic growth and development. Its main function is to mobilize surplus funds and utilize them effectively for productive purposes. Therefore a well-knit financial system is essential for the economic health of a nation.

The financial system of a nation is made up of a set of sub-systems of financial institutions, financial markets, financial instruments and financial services which help in the mobilization of funds and formation of capital. Thus a financial system provides a mechanism by which savings are transformed into investments. These sub systems must operate in tandem with one another for effective economic growth by rendering various financial services to the community.

A good financial system is characterized by the presence of well integrated, organized and regulated financial markets and institutions that meet the short term and long term financial needs of both the household and the corporate sector.

In this unit you will learn about the various components of a financial system, financial institutions and their role in sustaining business ventures and the impact of foreign direct investment on business. You will also get a brief introduction about the pre liberalization and post liberalization policies of India about foreign direct investment and the channels thereof.

Objectives:

After studying this unit, you should be able to:

- define what financial environment is.
- identify the various components of the financial system, namely, money and capital markets in India.
- demonstrate the role of various financial institutions and banks in promoting and sustaining business ventures.
- construct the role of foreign direct investment and channels thereof.

6.2 An Overview of the Financial System

The Financial System of a country consists of financial markets, financial intermediaries, financial instruments and financial services. The word 'system' implies a set of complex and closely connected or interlinked institutions, agents, practices, markets, transactions, claims, and liabilities in the economy. The main concerns of a financial system are finance, money and credit. You need to understand the subtle distinctions between these intimately related terms.

The term '*finance*' is often wrongly used as a synonym for 'Money'. Finance is the source of providing funds for a particular activity. Thus public finance does not mean the money with the Government. It refers to the sources of raising revenue for the activities and functions of a Government, an individual, a business or a corporate house. Finance can be defined as:

1. "The science of the management of money and other assets."
2. "The management of monetary resources and funds, especially those of a government or corporate body."

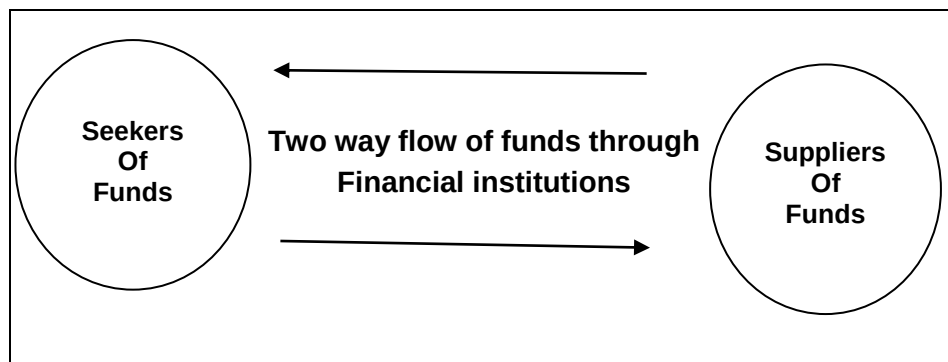
'Money' acts as the medium of exchange or transaction. It facilitates exchange of goods and services. It also functions as a measure of value. The currency notes and coins in circulation and all demand deposits that can be readily converted into cash are referred to as money. On a broader plane, any asset that can be easily converted into ready cash such as savings accounts can be called money.

'Credit' refers to money loaned by a lender to an individual or a company. It also stands for the limit up to which money may be loaned to a prospective borrower.

In any economy, there are areas or people with surplus funds and there are those with a deficit. A financial system or financial sector functions as an intermediary and facilitates the flow of funds from the areas of surplus to the areas of deficit. A Financial System is a composition of various institutions, markets, regulations and laws, practices, money managers, analysts, transactions and claims and liabilities.

Thus, financial system is the institutional arrangement, whereby, surplus funds are efficiently transferred from savers (predominantly the household sector) to the seekers of funds (generally the business sector and the government). The functions of a financial system are carried out by various financial institutions through a number of financial instruments using well established financial procedures and practices. The main function of the financial system is to act as a financial intermediary between widely dispersed savers and seekers of funds. The institutions that facilitate this function are known as financial intermediaries.

Table 1: Function of Financial System



Finance, thus is a source of funding an activity. In this respect, providing or securing finance is a distinct activity or function which results in Financial Management, Financial Services and Financial Institutions. Finance therefore represents the resources from where we can draw funds needed for a particular activity. We thus speak of 'finance' only in relation to a proposed activity. The term is used specifically in relation to commerce, business and banking etc. Finance is also referred to as "Funds" or "Capital", when referring to the financial needs of a corporate body.

A financial system can operate at the global, regional or firm specific level. Multiple and varied components make up the financial system at each level.

The global financial system encompasses all financial institutions, borrowers and lenders within the global economy. It includes the International Monetary Fund, Central Banks, World Bank and major banks that practice overseas lending.

The regional financial system enables lenders and borrowers of the region to exchange funds. It includes banks and other financial institutions, financial markets and financial services located within a region.

A firm's financial system is the set of implemented procedures that track the financial activities of the company. It encompasses all aspects of finance such as accounting measures, revenue and expense schedules, wages and balance sheet verification etc.

6.2.1 Roles or functions of a financial system:

The main role of a financial system is to provide or raise funds or capital for some purpose; to supply funds to someone for a particular cause; or to furnish credit to an individual or a group.

Towards this end, a financial system performs the following functions:

- i) Serves as a link between savers and investors.
- ii) Helps in utilizing the mobilized savings of scattered savers to scattered investors or seekers of funds in a more efficient and effective manner.
- iii) Channelizes savings into productive investments.
- iv) Assists in the selection of the projects to be financed.
- v) Reviews the performance of such projects periodically.
- vi) Provides payment mechanism for exchange of goods and services.

- vii) Provides a mechanism for the transfer of resources across geographic boundaries.
- viii) Provides a mechanism for managing and controlling the risk involved in mobilizing savings and allocating credit.
- ix) Promotes the process of capital formation.
- x) Helps in lowering the cost of transaction and in increasing returns.
- xi) Provides detailed information about funds to the concerned individuals, business houses, Governments etc.
- xii) Monitor the utilization of funds, or compare actual income and expenses versus budgeted amounts.
- xiii) Establishes financial controls and clear accounting procedures to ensure that funds are used for intended purposes.

6.2.2 Features of a well-developed financial system

A well developed financial system should have the following features:

- i) **Equity:** It should take care of the interests of both the lender and the borrower in a balanced and equitable manner.
- ii) **Efficiency of Allocation of Funds:** The system must ensure that funds are allocated and transferred efficiently and adequately to the seekers or sectors facing deficit of funds in such a way that no sector is starved of funds.
- iii) **Efficacy of Mobilization of Funds:** The system must be able to raise and mobilize funds from savers and lenders, for allocation where required.
- iv) **Competitive Transaction Costs:** The system must maintain the transaction cost of financial deals at low and competitive levels so as to give a boost to the market.
- v) **Risk Absorption:** Risk absorption is a crucial function of the financial system. It must monitor financial transactions to ensure that risks are minimized and favourable conditions for the growth of business are created.
- vi) **Adequacy of Returns:** The system should be able to provide adequate financial returns to lenders, borrowers and intermediating financial institutions. Savings dwindle when returns are low which leads to paucity of available funds for borrowers. This can result in a slowdown of the economy.

Self Assessment Questions

1. A financial system provides a mechanism by which savings are transformed into _____.
2. A financial system functions as an intermediary and facilitates the flow of funds from the areas of _____ to the areas of _____.
3. Finance represents the _____ from where funds for a particular purpose can be drawn.
4. A good financial system provides adequate financial returns to _____, _____ and _____.

6.3 Components of Financial System

The following are the four main components of a Financial System:

1. **Financial institutions:** The primary function of financial institutions is to collect savings and convert them into investments. This process is known as capital formation. Financial institutions facilitate direct or indirect links between investors and borrowers to ensure the smooth functioning of the financial system. They mobilize savings of the surplus units and allocate them to productive activities at a better rate of return. Thus, they serve as **financial intermediaries** because they act as middlemen between savers and borrowers. Financial institutions also provide advice to organizations on various issues ranging from restructuring to diversification plans. These financial institutions may belong to Banking or Non-Banking sectors.
2. **Financial markets:** The term refers to the groups of lenders and borrowers who interact for transferring of funds between them and to the mechanism through which the funds are transferred. Financial assets are traded and yield rates determined in financial markets. Financial markets can be classified into two types:
 - a) **Money markets:** These are markets where liquid or short term assets are traded.
 - b) **Capital markets:** These markets deal with the trading of long term assets.

The main functions of financial markets are:

- i) to facilitate creation and allocation of credit and liquidity;
- ii) to serve as intermediaries for mobilization of savings;
- iii) to assist in the process of balanced economic growth;
- iv) to provide financial convenience to customers.

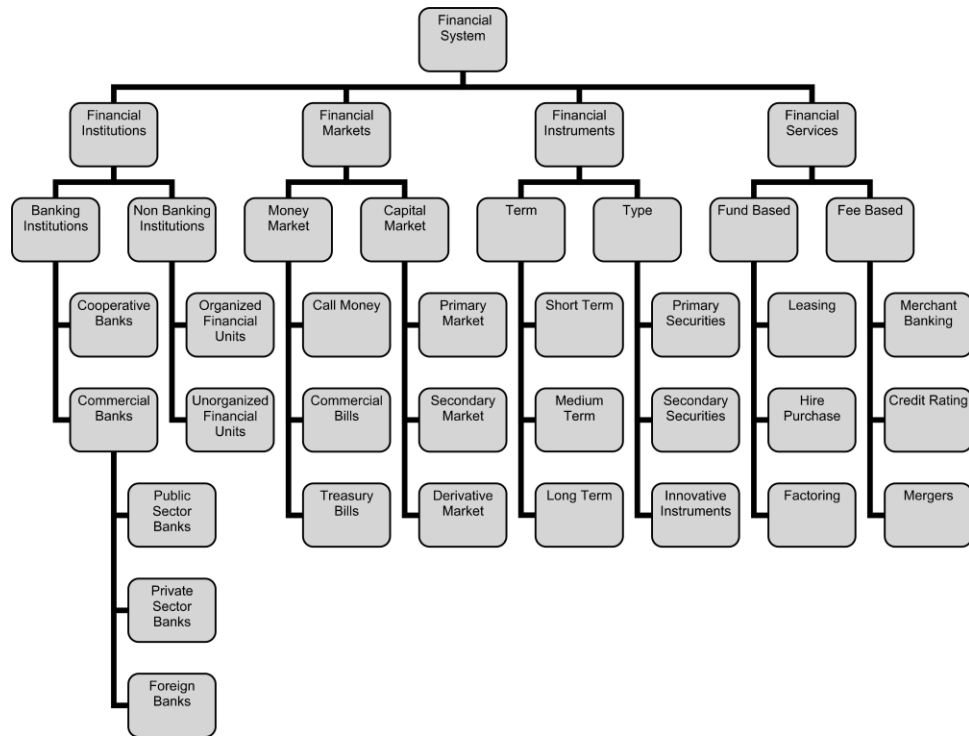
3. **Financial instruments:** Financial instruments are legal documents that represent monetary value. These may be either cash, evidence of an ownership interest in an entity or a contractual right to receive or deliver cash or another financial instrument. There are two broad categories of financial instrument:

Cash instruments: These are documents that are recognized as cash and can be utilized for various transactions. Their value is determined directly by markets. They can be divided into securities, which are readily transferable, and other *cash* instruments such as loans and deposits, where both borrower and lender have to agree on a transfer. Currency is the most widely and commonly used cash instrument. Cheques or fund transfers from bank accounts are also financial instrument of this type.

Derivative instruments: These are instruments which derive their value from the value and characteristics of one or more underlying entities such as an Asset, an Index or an Interest Rate. They can be divided into exchange-traded derivatives and over-the-counter (OTC) derivatives. Derivative instruments include such instruments as futures, options, and swaps. Some analysts also prefer to include stocks, bonds, and currency futures within this category as well, while others tend to think of these instruments as cash equivalents, since it is possible to settle debts by transferring ownership of stocks and bonds. In broad terms, a derivative instrument is some type of contract that has value based on the current status of the underlying assets.

Other types of documents are often understood to function as financial instruments. In the world of real estate funding, the mortgage qualifies as a financial instrument. A commercial paper or stock index also meets the basic definition. Bills of exchange are usually recognized as financial instrument.

4. **Financial services:** The effectiveness and efficiency of a financial system largely depends upon the quality and variety of financial services provided by financial intermediaries. The term financial services refers to the activities, support and benefits offered and provided to users and customers in matters pertaining to finance.

Table 2: Components of Financial System**Self Assessment Questions**

5. The primary function of financial institutions is to collect savings and convert them into investments. (True/ False)
6. Financial institutions serve as **financial intermediaries** between savers and borrowers. (True/ False)
7. Financial markets are of three types. (True/ False)
8. Financial instruments are legal documents that represent monetary value. (True/ False)

6.4 Financial Institutions and their Roles

A financial system functions with the help of financial institutions. Financial institutions are the firms that provide financial services and advice to their clients. Financial institutions are generally regulated by the financial laws of government authority.

Various types of institutions cater to the financial demands of borrowers, investors, markets, business organizations and corporate houses at individual or group levels. These institutions generally act as the intermediaries between the capital market and debt market. They control the flow of money in the economy as they are responsible for transferring funds from investors to the companies. The services provided by institutions depend upon their types. Following are the various types of financial institutions generally active in a financial system:

- i) **Commercial Banks:** Commercial banks provide insurance services, mortgages, loans and credit cards, securities, money market and cheque writing facilities to customers.
- ii) **Credit Unions:** The credit union is a co-operative financial institution, which is usually controlled by the members of the union. The major difference between the credit unions and banks is that the credit unions are owned by the members who have accounts in it. These unions offer direct debits, direct deductions from payroll, cheaper insurance facilities and standing order facilities.
- iii) **Stock Brokerage Firms:** Stock brokerage firms help both the corporations and individuals to invest in the stock market.
- iv) **Asset Management Firms:** The main function of these firms is to manage various securities and assets to meet the financial goals of the investors. They also offer fund management advice and decisions to corporations and individuals.
- v) **Insurance Companies:** These institutions offer insurance services, securities, buying or selling service of the real estates, mortgages, loans, credit cards and cheque writing.
- vi) **Finance Companies:** These are organizations that offer loans to individuals just like banks but they do not receive deposits like banks. They get their financial returns from the interests on the loans they extend to their clients.
- vii) **Building Societies:** A building society is a financial institution owned by its members rather than by shareholders. The society's main function is to provide loans to its members to help them to buy their own houses. The loan is extended against security of the property to be bought. These companies raise their funds through deposits on which they pay interest.

viii) **Retail Bankers:** Retail banking is offered by most commercial banks, as well as smaller community banks. It is a banking service that caters primarily to individual consumers. Retail banking entities provide a wide range of personal banking services, including savings and checking accounts, bill paying services, as well as debit and credit cards. Through retail banking, consumers may also obtain mortgages and personal loans. Some retail banks also offer their services to small and medium sized businesses. Today much of retail banking is streamlined electronically via Automated Teller Machines (ATMs), or through virtual retail banking known as online banking.

Self Assessment Questions

9. Match the following:

A	B
i) Financial system works	i) by the financial laws of government authority.
ii) The financial institutions are generally regulated	ii) primarily to individual consumers.
iii) A building society is a financial institution	iii) manage various securities and assets
iv) Retail banking service caters	iv) with the help of financial institutions.
v) The asset management firms	v) owned by its members rather than by shareholders

6.5 Financial Institutions In India

The Financial Institutions in India are mainly comprised of the Central Bank which is better known as the Reserve Bank of India, the commercial banks, the credit rating agencies, the securities and exchange board of India, insurance companies and the specialized financial institutions in India.

Reserve Bank of India: The Reserve Bank of India was established in the year 1935 with a view to organizing the financial frame work and facilitating fiscal stability in India. The bank regulates the functioning of various commercial banks and other financial institutions in India. The bank formulates different rates and policies for the overall improvement of the banking sector. It issue currency notes and offers aids to the central and state institutions of governments.

Commercial Banks in India: The commercial banks in India are categorized into foreign banks, private banks and the public sector banks. The commercial banks indulge in varied activities such as acceptance of deposits, acting as trustees, offering loans for different purposes and are even allowed to collect taxes on behalf of the institutions and central government. The banking institutions of India play a major role in the economy of the country. The banking institutions are the providers of depository and transaction services. These activities are the major sources of creating money. The banking institutions are the major sources of providing loans and other credit facilities to the clients.

Credit Rating Agencies in India: The credit rating agencies in India were mainly formed to assess the condition of the financial sector and to find out avenues for improvement. The credit rating agencies offer the following services:

- i) Help in operation upgradation.
- ii) Provide training to Employees.
- iii) Scrutinize new projects and find out their viability and point out weaknesses.
- iv) Rate different sectors.

The two most important credit rating agencies in India are CRISIL (Credit Rating Information Services of India Limited) and ICRA (Internet Content Rating Agency).

Securities and Exchange Board of India: The securities and exchange board of India, also referred to as SEBI, was founded in the year 1992 in order to protect the interests of the investors and to facilitate the functioning of the market intermediaries. The Board supervises market conditions, registers institutions and carries out the crucial task of risk management.

Insurance Companies in India: The insurance companies offer protection against losses. They deal in life insurance, marine insurance, vehicle insurance and so on. The insurance companies collect the little saving of the investors and then reinvest those savings in the market. The insurance companies have been collaborating with different foreign insurance companies after the liberalization process.

Specialized Financial Institutions in India: The specialized financial institutions in India are government undertakings that were set up to provide

assistance to the different sectors and thereby cause overall development of the Indian economy. Following are the major specialized institutions operating in India:

- i) Board for Industrial & Financial Reconstruction
- ii) Export-Import Bank Of India
- iii) Small Industries Development Bank of India
- iv) National Housing Bank

All these financial institutions can be divided into two categories, 'regulatory' and 'intermediary' on the basis of the role they play.

The regulatory financial institutions are assigned the job of governing all the divisions of the Indian financial system. These regulatory institutions are responsible for maintaining the transparency and the national interest in the operations of the institutions under their supervision. Following are the regulatory financial institutions of India:

- i) Reserve Bank of India (RBI)
- ii) Securities and Exchange Board of India (SEBI)
- iii) Central Board of Direct Taxes (CBDT)
- iv) Central Board of Excise & Customs

The Intermediary financial institutions of India include the banking and non-banking financial institutions. Some of the specialized financial institutions in India are as follows:

- i) Unit Trust of India (UTI)
- ii) Securities Trading Corporation of India Ltd. (STCI)
- iii) Industrial Development Bank of India (IDBI)
- iv) Industrial Reconstruction Bank of India (IRBI), now (Industrial Investment Bank of India)
- v) Export - Import Bank of India (EXIM Bank)
- vi) Small Industries Development Bank of India (SIDBI)
- vii) National Bank for Agriculture and Rural Development (NABARD)
- viii) Life Insurance Corporation of India (LIC)
- ix) General Insurance Corporation of India (GIC)
- x) Shipping Credit and Investment Company of India Ltd. (SCICI)
- xi) Housing and Urban Development Corporation Ltd. (HUDCO)
- xii) National Housing Bank (NHB)

Self Assessment Questions

10. The Reserve Bank of India was established in the year _____.
11. The commercial banks in India are categorized into _____, private banks and the public sector banks.
12. The two most important credit rating agencies in India are _____ and ICRA.
13. SEBI was founded in 1992 to protect the interest of _____.

6.6 Role of Foreign Direct Investment

Inflow of foreign capital and technology can give a boost to the economic development of developing and under developed nations. The import of required raw material which is not available within the country, technical know-how, machinery and even consumer goods can accelerate the pace of economic growth, increase employment opportunities and bring about an improvement in the standard of living of the general public. All such imports require foreign exchange which a nation gets through its exports. When there is a gap between the amount of exports and imports, enough foreign exchange may not be available. Under such circumstances, foreign capital can reduce the foreign exchange gap.

Thus, foreign direct investment has a major role to play in the economic development of the host country. Foreign Investment can be direct or indirect. Foreign investment is called 'direct' when the investor is able to exercise actual control in the invested enterprise. 'Indirect investment' allows ownership or proprietary rights but not actual control. Over the last few decades, FDI has helped many developing economies to progress and grow at a faster pace. This has become possible because many hitherto closed economies have revisited their economic policies and opened the portals to allow foreign direct investors in selected sectors. This has given their economies the much needed shot in the arm and spurred them on for better development.

The advantages of FDI go far beyond mere inflow of foreign exchange. It comes with many other concomitants that give additional benefits to the host country. Following are the areas in which the host country may benefit from Foreign Direct Investments:

- i) Financial transfer of foreign exchange.
- ii) International Trade Channels.

- iii) Improvement in the infrastructure of the host country.
- iv) Faster Technological development.
- v) Transfer of technological knowhow.
- vi) Better physical resources like machinery, equipment, tools etc.
- vii) Improvement in Managerial skills, techniques and practices.
- viii) Training Resources for developing human resources.
- ix) Setting up research and development bases that can contribute to the technological development of the country.
- x) Increased foreign trade resulting from foreign capital inflow.
- xi) Stimulation of domestic enterprise.
- xii) Increased government fiscal revenue due to increased foreign trade.
- xiii) Boost to productivity.
- xiv) Increased employment opportunities at better wages.
- xv) Advanced and modern facilities in the health sector.
- xvi) Setting up of mass education programs to help educate the disadvantaged sections of society.
- xvii) Better and varied products in the consumer market at competitive prices.
- xviii) Improvement in the standard of living of the general public.

Apart from these benefits there are certain other advantages of FDI over the Official Development assistance provided by the Government:

- i) The burden of risk of investment shifts from the domestic to the foreign investor.
- ii) Repayments are linked to profitability of the underlying investment.
- iii) FDI results in higher Gross Domestic Product (GDP).

However, every coin has a flip side. Foreign Direct Investment has to be monitored carefully; otherwise it can prove to be counterproductive in the following ways:

- i) FDI tends to get concentrated in the high profit areas. Priority areas might get neglected.
- ii) The imported technology might have to be adapted to the needs of the host country.
- iii) The Multinational Corporate Houses may be able to evade or undermine economic control and regulation.
- iv) Dependence on FDI may make the political system vulnerable to pulls and pressures from the foreign investors.

- v) Foreign investors may indulge in unethical trade practices that are detrimental to the host country's economy.
- vi) Foreign business and production companies may displace domestic producers and may create monopolies in certain sectors.

However, the advantages of Foreign Direct Investment are far greater than its limitations which can be overcome with stringent controls and regulations.

6.6.1 Foreign Direct Investment in India

After independence, India adopted a style of governance which came to be called a socialist democracy. Its economic policy was in tune with the political ideology adopted by the government. Hence, the Indian economy remained closed and insulated. Its policy towards foreign capital and technology was very restrictive. Foreign collaboration was permitted only in areas where such collaboration was considered necessary and unavoidable. Thus, the government's policy on foreign equity participation was selective. Foreign equity participation was restricted to 40 percent. Foreign investment and technical collaboration needed prior approval of the government.

The Foreign Exchange Regulation Act (FERA) of 1973 empowered the Reserve Bank of India to regulate or exercise direct control over the activities of foreign companies and domestic companies in India. A foreign investor, even a non resident Indian, wishing to plough funds into India had to get permission from RBI before investing in India.

The economic policy took a new turn with the Industrial Policy Statement of July 24, 1991. It marked a tentative beginning to free Indian economy from official control, and to open new avenues for promoting foreign investment in India. As against the 40 percent limit of investment allowed during the pre liberalized era, the new policy allows majority foreign equity in most sectors and also grants automatic RBI approval in a large number of industries.

6.6.2 Channels of Foreign Direct Investment

The economically developing as well as underdeveloped countries are dependent, to varied degrees, on the economically developed countries for financial assistance and investments that would help their economies develop and grow. The developed countries, on their part, find new avenues of investment and consequently new markets. The investment can

be for setting up a new venture or for acquiring the ownership of an already existing enterprise by buying shares in it. The first type is called 'Greenfield Investment'. This can be done by non residents under Section V of the Foreign Exchange Management Act (FEMA) of 1999. Such investment is allowed in both public and private sectors.

This financial investment can be channelized into different sectors of the economy through various routes or channels. The channelization is normally done on the basis of the requirements of a particular sector. The first step in the process is to get clearance for the proposed FDI. In India, the main agencies assigned with the responsibility of clearing FDI are:

- i) Foreign Investment Promotion Board (FIPB)
- ii) Foreign Investment promotion Council (FIPC)
- iii) Foreign Investment Implementation Policy (FIIA)
- iv) Investment promotion and Infrastructure Development Cell (IPID)
- v) Secretariat for Industrial approval (SIA)
- vi) Reserve Bank of India (RBI)

The next step is the channelization of foreign capital through a specified route. In India, There are two main routes for this purpose. These are:

1. ***The Reserve Bank of India's Automatic Approval Channel:*** In the modern liberalized economy, foreign investment in a large number of industries is eligible for automatic approval route. This means that prior permission by the Government or the RBI is not required. However, the investor is required to inform the RBI within 30 days of making the investment. RBI's automatic approval route is available to the Information Technology Sector, manufacturing units in Special Economic Zones, technical collaboration, insurance sector (with maximum foreign equity of 26%) etc. Foreign equity up to 100% is allowed in most of the sectors that are eligible for the RBI's automatic route. Until 1996 only 36 industries were eligible for such approval but since then the list has been expanded to include a much larger number of industries.
2. ***SIA/FIPB Channel:*** All proposals which are not eligible for the RBI's automatic approval are required to get the Government's approval through the Secretariat for Industrial Approval (SIA) and Foreign Investment Promotion Board (FIPB). These cases are decided on

individual merit. The FIPB is empowered to consider investment proposals up to Rs. 6 billion. It can accept or reject such proposals on the basis of certain pre laid criteria. A proposal that passes scrutiny is forwarded to the Industry Minister for approval.

If the proposal is approved by the Industry Minister, it is conveyed to the foreign investor through the Secretariat of Industrial approval (SIA). The foreign investor then makes the investment as proposed and approved. The Indian Company receiving any such investment is required to inform the RBI about the receipt of the investment.

Though the RBI's automatic approval and single window clearance is available, the FIPB/SIA route continues to be the predominant route for foreign direct investment.

Self Assessment Questions:

14. All proposals which are not eligible for the RBI's automatic approval are required to get the Government's approval through the _____ and Foreign Investment Promotion Board (FIPB).
15. _____ route is available to the Information Technology Sector, manufacturing units in Special Economic Zones, technical collaboration, insurance sector (with maximum foreign equity of 26%) etc.
16. FEMA is the foreign exchange _____.

6.7 Summary

- The financial system mobilizes surplus funds and utilizes them effectively for productive purposes. Therefore a well-knit financial system is essential for the economic health of a nation.
- The functions of a financial system are carried out by various financial institutions through a number of financial instruments using well established financial procedures and practices.
- A financial system is made up of four main components; financial institutions, financial markets, financial instruments and financial services.
- Various types of institutions such as Commercial Banks, Credit Unions, Stock Brokerage Firms, Asset Management Firms, Insurance

Companies, Finance Companies, Retailers, and Building Societies act as the intermediaries between savers and seekers of funds.

- Financial institutions include The Reserve Bank of India, the Commercial Banks, Credit Rating Agencies, Securities and Exchange Board of India, Insurance Companies and Specialized Financial Institutions.
- Since 1991, India too has come out of the shell of a closed economy and opened its economy to FDI. The two main channels for FDI are the Reserve Bank of India's Automatic Approval Channel and the SIA/FIPB Channel.

6.8 Glossary

- **Financial intermediaries** are middlemen between savers and borrowers.
- **Capital formation** process is collecting savings and converting them into investments.
- **Financial instruments** are legal documents that represent monetary value. These may be either cash; evidence of an ownership interest in an entity; or a contractual right to receive or deliver cash or another financial instrument.
- **Financial services:** the term refers to the activities, support and benefits offered and provided to users and customers in matters pertaining to finance.
- **Financial institutions:** cater to the financial demands of borrowers, investors, markets, business organizations and corporate houses at individual or group levels.
- **Foreign direct Investment:** Foreign investment is called 'direct' when the investor is able to exercise actual control in the invested enterprise.

6.9 Terminal Questions

1. What is a Financial System? What are the main components of a financial system?
2. Which are the main financial institutions of India? What role do they play in the economy?
3. How does foreign direct investment help in the acceleration of economy? How is FDI channelized in India?

6.10 Answers**Self Assessment Questions:**

1. Investments.
2. Intermediary, surplus.
3. resources
4. Investors, borrowers, financial intermediaries.
5. True
6. True
7. False
8. True
- 9.

A	B
i) Financial system works	iv) With the help of financial institutions.
ii) The financial institutions are generally regulated	i) By the financial laws of government authority.
iii) A building society is a financial institution	v) owned by its members rather than by shareholders
iv) Retail banking service caters	ii) Primarily to individual consumers.
v) The asset management firms	iii) Manage various securities and assets.

10. 1935
11. Foreign banks
12. CRISIL
13. Investor
14. Secretariat for Industrial Approval (SIA)
15. RBI's automatic approval
16. Management Act

Terminal Questions:

1. Refer to Sections 6.2 and 6.3.
2. Refer to Section 6.5
3. Refer to Section 6.6

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